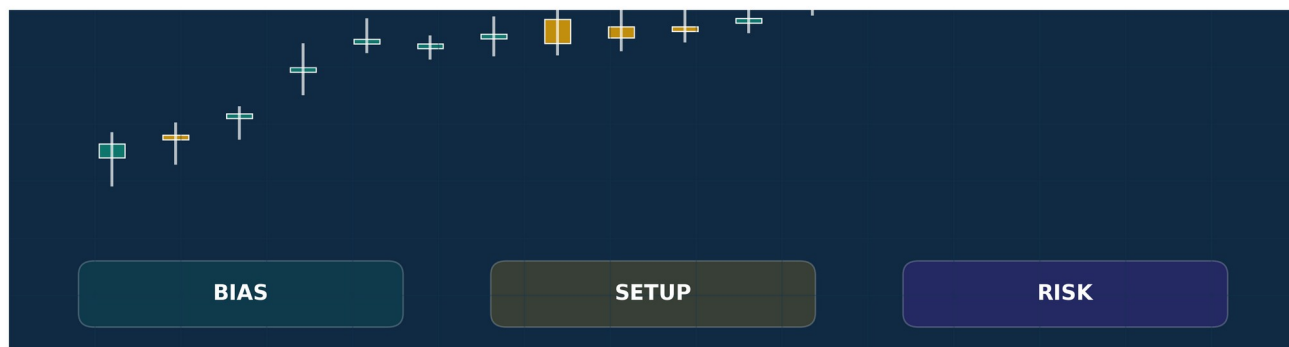




Intraday Trading Framework

A comprehensive outline for beginner-to-intermediate traders: bias, price action, session timing, entries, risk, journaling, and skill development.

BEGINNER FRIENDLY

INTERMEDIATE STRUCTURE

EXPERT LENS INCLUDED

Educational use only. This document is designed to help traders organize thinking and practice deliberate execution. It is not investment advice, a guarantee of profitability, or a substitute for understanding your broker, market, and local regulations.

Core idea: trade a small number of repeatable patterns with clearly defined risk, rather than reacting emotionally to every candle.

How to use this outline

Read it as a training framework, not as a prediction script.

The goal is to give new and improving traders a way to think in layers: first understand market context, then identify a setup, then define risk, then execute, then review. Each module includes a TL;DR, a beginner explanation, an intermediate explanation, and an expert lens.

TL;DR = the one-sentence takeaway	Beginner = plain-English view	Intermediate = trade process and nuance	Expert = edge preservation and context
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Section map

Module	Focus
1. Market structure, liquidity, and bias	Learn how to form a directional hypothesis before looking for entries.
2. The AMD narrative	Use accumulation → manipulation → distribution as a practical price-action story.
3. Timeframes and session timing	Choose a higher timeframe for context and a lower timeframe for execution.
4. Entry models and order types	Wait for displacement and retrace instead of chasing fast moves.
5. Stops, targets, and position sizing	Protect capital first; size after the stop is defined.
6. Daily playbook and management	Use the same routine before, during, and after every session.
7. Backtesting, journaling, and improvement	Measure your edge and separate strategy quality from execution quality.
8. Failure modes, glossary, and references	Know what breaks the model, what the key terms mean, and where the regulatory notes live.

Risk context

Day trading can involve rapid losses, leverage, and emotionally intense decisions. Investor education materials from FINRA, Investor.gov, and the SEC emphasize that it is not appropriate for everyone and can result in substantial losses quickly [R1][R4][R5].

One-page TL;DR playbook

When in doubt, come back to this page before the open.

Core intraday workflow

The repeatable edge is not “predicting the future.” It is moving through the same decision sequence every day.



Figure 1. The repeatable decision sequence matters more than predicting a single candle.

TL;DR

Start with bias. Mark a range. Wait for a sweep against the bias. Demand clear displacement away from that sweep. Enter only on a retrace into value. Define the stop before the size. Take profits at objective levels. Journal the result and grade your adherence.

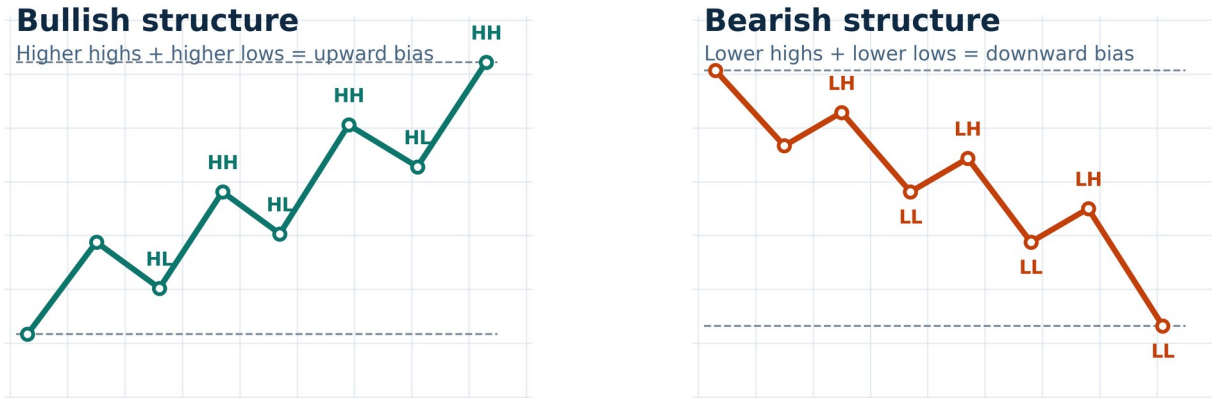
Seven non-negotiables

1. Capital preservation comes before opportunity. A good trade with bad sizing is still a bad process.
2. One setup is enough. New traders do better by specializing than by collecting indicators.
3. Bias is a hypothesis, not certainty. If price invalidates the idea, step aside.
4. A time box is only useful if it has been tested on your instrument and session.
5. Do not chase displacement candles. The retrace is usually where risk becomes manageable.
6. Every trade must have a pre-defined stop, target logic, and maximum account risk.
7. No journal = no learning loop. If you cannot review it, you cannot improve it.

1. Market structure, liquidity, and bias

Context comes first. Entries without context usually become emotional guesses.

Before you think about an entry, answer three questions: What direction is the market structurally leaning? Where is liquidity likely resting? What price level would prove my idea wrong? This is the foundation of an intraday thesis.



Bias is a working hypothesis: mark structure, prior highs/lows, and invalidation before looking for entries.

Figure 2. Use visible swing structure to form a working bias before you look for a trigger.

TL;DR

Trade after you have a directional hypothesis. Bias comes from structure, obvious liquidity, and invalidation—not from hope.

Beginner level	Intermediate level	Expert level
- Bullish structure usually means higher highs and higher lows; bearish structure means lower highs and lower lows. - Mark obvious swing highs, swing lows, the session open, and prior day high/low before the session starts. - If you cannot explain where the trade is wrong, you do not have a real setup yet.	- Separate major swing structure from tiny pullbacks on the execution chart. - A strong intraday trade often moves from one pool of liquidity toward another; note where stops may be resting. - Bias improves when higher-timeframe direction and the session narrative point the same way.	- Bias is probabilistic, not predictive. A higher-timeframe uptrend can still produce intraday short setups if the session is distributing lower. - The best bias is usually the one that survives the open after volatility tests both sides. - Experienced traders think in scenarios: base case, invalidation, and no-trade conditions.

What to mark before the session

- Previous day high and low; overnight / pre-market extremes; session open.
- Major scheduled news or earnings if your instrument is sensitive to them.
- One or two obvious swing points that could act as liquidity magnets.
- A simple invalidation level: the price action that says your directional thesis is wrong.

Drill

Practical beginner drill: print or screenshot 30 charts and label the visible higher highs / higher lows or lower highs / lower lows. Do this before you try to trade the pattern live.

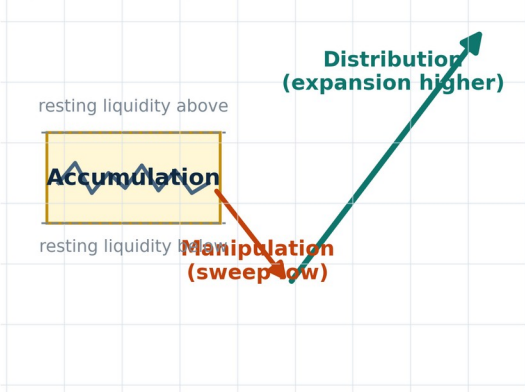
2. The AMD narrative

A simple price-action story can help you wait for structure instead of forcing trades.

Many discretionary traders use the sequence accumulation → manipulation → distribution (AMD) to describe one common intraday pattern. The vocabulary is community-specific, but the practical idea is straightforward: price pauses, sweeps one side of a range, then expands in the opposite direction.

Bullish AMD

Open → low sweep → move to highs



Bearish AMD

Open → high sweep → move to lows

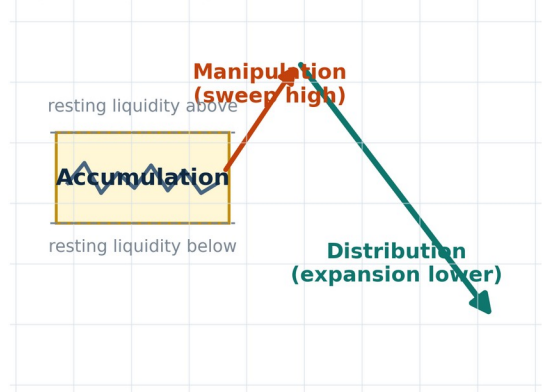


Figure 3. The AMD pattern is a narrative lens: range first, sweep second, expansion third.

TL;DR

Range first. Sweep second. Expansion third. If the sequence is messy or incomplete, the safest answer is no trade.

Beginner level	Intermediate level	Expert level
- Accumulation is sideways movement inside a visible box or tight range. - Manipulation is a stop run or false break through one side of that box. - Distribution is the stronger move that runs away from the sweep and often heads toward the opposite side.	- The sweep should ideally happen against your bias, not with it. - Look for a cleaner move away from the sweep than the move into it; that tells you urgency has changed. - Do not enter because the sweep happened; wait until price proves it can leave the range.	- AMD is a narrative, not a law of markets. Skip it when price sweeps both sides repeatedly, when news creates random expansion, or when the sweep does not produce real displacement. - The best sequences often remove one side of liquidity and then leave an imbalance behind. - An expert trader is not trying to see AMD everywhere; they are trying to reject low-quality imitations.

A quality filter for AMD-style setups

- The range is visible and not overly wide relative to your stop tolerance.
- The sweep clearly takes one side of the range before the market starts moving away.
- The post-sweep move shows displacement: speed, body size, and directional intent.
- There is an objective location to define entry and invalidation after the expansion.

Common trap

If price sweeps one side, fails to displace, then immediately sweeps the other side, treat that as information. Balanced chop is not the same thing as a clean AMD sequence.

3. Timeframes and session timing

Noise reduction is one of the biggest edges a newer trader can build.

A simple training structure is to use one higher timeframe for context and one lower timeframe for execution. For example: a 1-hour or 15-minute chart for bias, and a 5-minute chart for entries. The exact combination matters less than using the same combination consistently enough to learn its behavior.

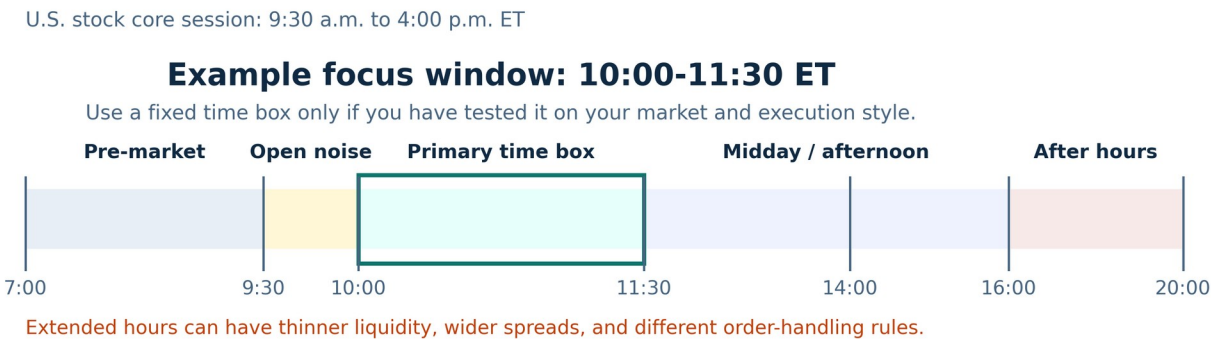


Figure 4. A time box is useful only if you test it on the market you actually trade.

TL;DR

Use a higher timeframe for context and a lower timeframe for entries. A time box is a discipline tool, not magic.

Beginner level	Intermediate level	Expert level
- Start with one instrument, one session, and one execution timeframe so you can actually recognize repeatable behavior. - If you trade U.S. stocks, remember that the cash session opens at 9:30 a.m. ET; a 10:00 a.m. start is 30 minutes after the open [R8]. - Avoid trying to trade all day. Most beginners improve faster with one fixed window.	- Track whether your chosen model performs better near the open, after the first burst of volatility, or later in the session. - Compare the session open, the pre-market high/low, and the first meaningful impulse. These often shape the day's intraday map. - Use the same market-hours assumptions in your backtests that you use in live execution.	- Session behavior is market-specific. U.S. stocks, index futures, forex, and crypto do not share identical microstructure or volume cycles. - Extended-hours trading can involve lower liquidity, larger spreads, uncertain prices, and different order-handling rules [R8][R9]. - If you adapt this framework to a 24/7 market like crypto, re-test the time window from scratch instead of assuming the same clock edge exists.

Time-box discipline checklist

- Mark the start and end time of your valid session before the market begins.
- Know whether major scheduled news falls inside that window.
- Ignore setups outside the window during training; the point is to build a measurable process.
- If you later expand the session, treat it as a new model and re-test it.

Execution note

Order type rules and broker behavior can differ in regular hours vs. extended hours. The SEC's investor guidance notes that after-hours markets can have wider spreads and weaker price discovery [R9].

4. Entry models: displacement, imbalance, and order types

A great setup can still become a bad trade if the entry is impulsive.

After the sweep, the key question is whether price can move away with enough urgency to leave an imbalance behind. Many traders use a fair value gap (FVG) or imbalance zone as a retracement entry area: the market expands quickly, leaves a price gap between parts of the move, then revisits that zone before continuing.

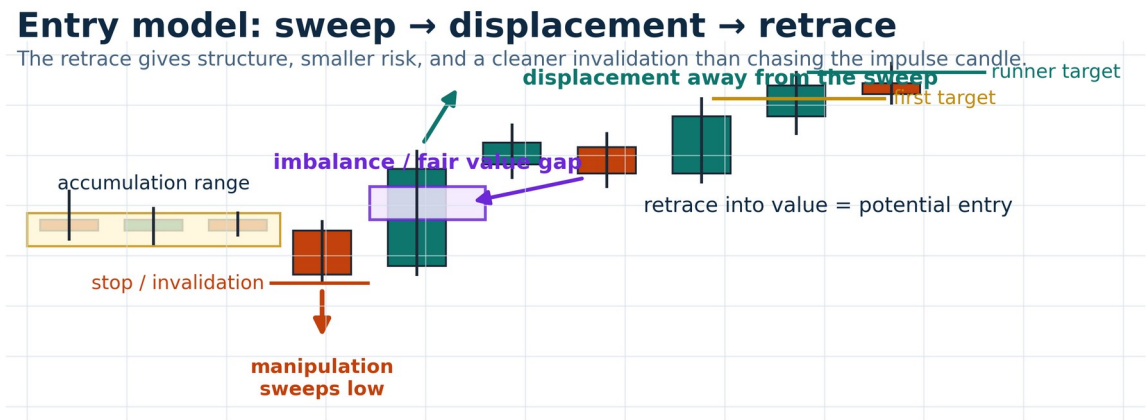


Figure 5. Waiting for the retrace can improve structure, stop placement, and reward-to-risk.

TL;DR

Do not chase the first fast candle. Wait for displacement, then see whether price retraces into value without fully failing.

Beginner level	Intermediate level	Expert level
- After the sweep, look for a strong move away from the swept level. - If price later returns toward the imbalance zone, that retrace can define your entry area. - Place invalidation beyond the sweep or structural failure point, not where it merely feels comfortable.	- The retrace should revisit value without completely destroying the post-sweep structure. - A cleaner entry normally gives you a tighter stop than buying or selling the impulse candle itself. - Skip the trade if the spread is too wide, the retrace is too deep, or the market immediately rejects the zone.	- Not every three-candle gap matters. Meaningful imbalances usually follow genuine urgency and align with broader context. - The more you rely on passive entries such as limits, the more you must accept missed fills; the more you rely on market orders, the more you must respect slippage. - Execution quality is part of the edge. A valid setup with poor order placement can erase the model's statistical advantage.

Order-type notes every trader should know

- Market order: highest probability of execution, but not a guaranteed price [R6].
- Limit order: controls price, but may not fill [R6].
- Stop order: becomes a market order when the stop price is reached; execution can deviate materially from the stop price in fast markets [R6][R7].

- Stop-limit order: controls the acceptable execution price, but may fail to execute if the market moves through it too quickly [R7].

Training rule

Beginner rule: if you cannot explain why a retrace entry is safer than a chase entry on the same chart, review the setup instead of trading it.

5. Stops, targets, Fibonacci zones, and position sizing

Risk is the real strategy. Entries only decide where the risk begins.

A trade is viable only when the stop, target logic, and size all make sense together. The safest order of operations is: define invalidation, convert that into per-unit risk, size the trade from your account risk budget, and then judge whether the available target still justifies the trade.

Position sizing formula

Size = (account equity × risk %) ÷ dollar risk per unit



For futures, options, or leveraged products, convert stop distance into dollars using the contract multiplier / tick value before sizing.

Figure 6. Position size follows risk; risk does not expand to justify the position you want.

TL;DR

Define risk first. Size follows the stop. Never widen the stop to force a larger position.

Beginner level	Intermediate level	Expert level
• Use a small fixed account risk per trade so one mistake does not damage the month. • A common structural stop is beyond the sweep high/low or beyond the level that proves the setup failed. • Your first target can be the opposite side of the range or a nearby liquidity level.	• Position size = (account equity × risk %) ÷ dollar risk per unit. This keeps loss size stable across different stop distances. • Take partial profits only where structure gives a reason; do not scale out randomly because you feel nervous. • If the first logical target does not offer enough reward for the risk and trading costs, skip the trade.	• Projected target tools such as custom Fibonacci extensions can help map confluence zones, but they are not evidence of edge by themselves. • Many skilled traders will only keep a runner if the market continues to confirm the thesis; otherwise they bank the process win and stand down. • The real professional edge is often trade selection: declining low-quality reward-to-risk setups before they hit the blotter.

Optional target map using a custom Fibonacci

- Some traders project targets from the manipulation extreme to the impulse high/low using custom levels (for example 1, 0.79, 0.62, 0, -1, -2, -2.5, and -4).

- Use these zones as a map for partials or runners only when they align with structure or liquidity.
- A tool becomes useful when it organizes the trade; it becomes dangerous when it replaces the trade idea.

Risk guardrails worth testing in your own plan

- Maximum risk per trade: small enough that three losses in a row are emotionally tolerable.
- Maximum daily loss: a hard line that stops the session before revenge trading begins.
- No widening of stops after entry. If the idea needs more room, it needed a different entry or no entry at all.
- For futures, options, or leveraged products, convert the stop distance into dollars using contract size / tick value before sizing [R10].

Metric	Illustrative example
Example expectancy	Win rate 45%, average win 2.2R, average loss 1R
Formula	$\text{Expectancy} = (\text{win\%} \times \text{average win}) - (\text{loss\%} \times \text{average loss})$
Result	$0.45 \times 2.2R - 0.55 \times 1R = +0.44R \text{ per trade}$

6. Daily playbook and trade management

Consistency turns a setup into a process.

A discretionary pattern is only half the job. The other half is having the same routine before the market, the same checklist at entry, the same management rules during the trade, and the same review process afterward. That is what makes performance measurable.

Improvement loop

Professionals improve the process; they do not keep adding new indicators after every losing trade.

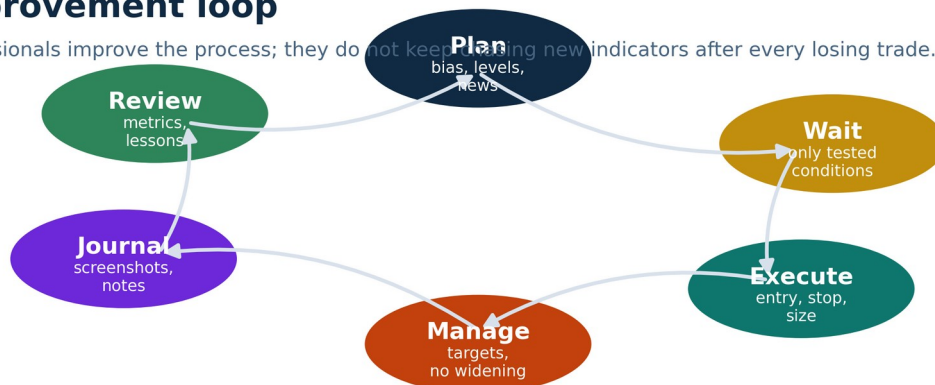


Figure 7. The best traders refine the process loop, not just the setup.

TL;DR

Same routine. Same checklist. Same risk rules. Same review. Process consistency reduces emotional variability.

Beginner level	Intermediate level	Expert level
• Trade one clean setup type and keep the number of trades per session low. • If you feel rushed, angry, or euphoric, that is information. The best trade may be to do nothing.	• Grade setups before entry: A, B, or pass. Do not let boredom turn a B-minus idea into an A-trade in your mind. • Use objective management rules: where to take partials,	• Separate strategy quality from execution quality. You can lose on a good process and win on a bad process. • If adherence drops, size down before changing the model.

Beginner level	Intermediate level	Expert level
A no-trade day is a valid outcome when the model is absent.	- when to leave a runner, and when to flatten immediately. - Tag emotions in the journal so you can see whether losses come from the model or from state management.	- Edge erosion often begins with discipline drift, not chart drift. - Professionals do not need constant action. They need clean exposure when their conditions are present.

Practical daily checklist

Phase	What to do
Before the open	Mark bias, key levels, session box, scheduled news, and maximum daily loss.
At the setup	Confirm range, sweep, displacement, entry zone, invalidation, and position size.
In the trade	Do not widen the stop. Manage only according to pre-written rules.
After the trade	Save chart screenshots, record R result, note emotion, and grade rule adherence.
After the session	Review what was present vs. what you traded; track overtrades and unnecessary risk.

7. Backtesting, forward testing, journaling, and improvement

Private conviction is not evidence. You need data.

The point of research is not to prove that a strategy is perfect; it is to measure whether a rule set produces acceptable results after costs, slippage, and human execution errors. Backtest the model rules first. Then paper trade the live execution. Then go live only with tiny size.

TL;DR

Backtest the rules. Paper trade the execution. Go live with minimal size only after the process is stable.

Beginner level	Intermediate level	Expert level
- Collect a large enough sample of chart examples that you stop relying on memory or a few dramatic wins. - Record the same setup fields every time so you can compare apples to apples. - A tiny sample can inspire curiosity, but it does not prove robustness.	- Track win rate, average win, average loss, expectancy, time in trade, slippage, and adherence score. - Use screenshots before and after the trade so you can see whether the chart matched the written model. - Separate backtest results from live results; if they differ,	- Review by regime: trend day, balanced day, news day, low-volume day, and instrument type. - Track MFE (maximum favorable excursion) and MAE (maximum adverse excursion) to understand whether stops and targets fit the setup. - The real question is not 'did it work yesterday?' but 'under what

Beginner level	Intermediate level	Expert level
	execution is part of the problem.	conditions does it stop working?'

Research standards worth adopting

- Use the same timeframe, session window, and setup definition every time.
- Include spread, commissions, fees, and slippage in any performance review.
- Do not look ahead on historical charts when marking entries and exits.
- Aim for a wider sample across different market conditions, not just one favorable month.
- Tag every example as valid trade, invalid trade, or no trade.

A journal template you can copy

Field	What to record
Date / instrument	SPY, ES, EURUSD, BTC, etc.
Bias	Bullish / bearish / neutral, and why
Session window	e.g., 10:00-11:30 ET
Setup quality	A / B / pass
Entry / stop / target	Actual prices and planned logic
Result	R-multiple, not just dollars
Adherence score	1-5 based on how closely you followed your plan
Emotion / note	State before, during, and after the trade

Development ladder

A useful training ladder: (1) replay and screenshot practice, (2) paper trading, (3) micro-size live trading, (4) gradual scaling only if adherence and results remain stable over time.

8. Common failure modes and how to fix them

Most trader improvement comes from removing errors, not discovering a new secret pattern.

TL;DR

When performance slips, look for process leakage first: timing, sizing, overtrading, and emotional chasing.

Failure mode	Why it hurts	Corrective action
No higher-timeframe bias	The trade becomes a random entry with no contextual edge.	Start every session by labeling structure and invalidation.
Trading outside the tested window	You lose the regime conditions the model was built around.	Treat each new session window as a separate model.
Chasing the impulse candle	Poor price, larger stop, and worse reward-to-risk.	Wait for retrace or accept that you missed it.
Oversizing	A normal loss feels catastrophic and triggers revenge behavior.	Cap account risk and size from the stop every time.

Failure mode	Why it hurts	Corrective action
Moving the stop wider	The loss becomes larger than the written plan and distorts the data.	Flatten or accept the stop; do not renegotiate the trade midstream.
Strategy hopping	No model gets enough repetitions to evaluate honestly.	Commit to one model for a defined test period.
Blind copy trading	You inherit someone else's risk without understanding the setup.	Only trade what you can explain, size, and invalidate yourself.
Ignoring broker / margin rules	Unexpected restrictions, margin calls, or forced liquidations can occur.	Know your broker's current rules before you trade live [R1][R2][R3].

Appendix A. 30 / 60 / 90-day training plan

A trader improves faster with milestones than with vague ambition.

Window	Primary objective	Pass condition
Days 1-30	Learn terms, mark structure daily, replay charts, and paper trade only one setup.	30 labeled charts, one written playbook, zero live risk.
Days 31-60	Backtest the model more formally and start journaling execution quality.	50-100 tagged examples, expectancy math, emotion notes.
Days 61-90	Paper trade or micro-size the same playbook with strict risk limits.	Consistent routine, stable adherence, no revenge-trading days.
After 90 days	Scale only if the process remains stable and the model still fits your psychology.	Increase size gradually, not in leaps.

Scaling rule

Graduation standard: do not scale because you are excited; scale because your process is boringly consistent and your review data still supports it.

Appendix B. Glossary

Plain-English definitions you can use in your journal.

Term	Plain-English meaning
Bias	Your best directional hypothesis based on structure and context.
Liquidity	Areas where stops or orders may be resting and where price may react.
Sweep / liquidity grab	A push through a prior high or low that removes one side of resting orders.
Accumulation	A visible range or consolidation where price moves sideways.
Manipulation	A false break or sweep that runs one side of the range before price reverses.
Distribution	The expansion phase that moves away from the sweep, often toward opposite liquidity.
Fair value gap / imbalance	A fast move that leaves a price inefficiency some traders use as a retracement entry zone.
Invalidation	The price condition that proves the trade idea is wrong.
R	One unit of risk. If you risk \$50, then +2R means +\$100 and -1R means -\$50.
Expectancy	The average value of a trade after accounting for win rate and average win/loss size.

Term	Plain-English meaning
Spread	The difference between bid and ask; wider spreads raise trading cost.
Slippage	The difference between expected execution price and actual fill price.
MFE / MAE	Maximum favorable excursion and maximum adverse excursion while the trade was open.
Drawdown	The decline from a peak in account value or equity curve.

Appendix C. Selected references and regulatory resources

Useful background reading for risk, order types, market hours, and day-trading rules. Last checked: March 18, 2026.

These references support the risk and execution notes in this outline. Rules and broker implementations can change, so always confirm the latest version directly with your broker or the primary source.

[R1] **FINRA.** [Day Trading](#). Explains the current pattern day trader framework, \$25,000 minimum equity, and day-trading buying power.

[R2] **FINRA.** [FINRA Moves to Overhaul Day Trading Margin Provisions](#). January 7, 2026 update noting FINRA's proposal to replace the longstanding PDT provisions with intraday margin standards.

[R3] **Federal Register.** [Notice of Filing of a Proposed Rule Change To Amend FINRA Rule 4210](#). January 14, 2026 notice describing the proposal and the current day-trading margin framework.

[R4] **Investor.gov.** [Thinking of Day Trading? Know the Risks.](#) Investor education note on leverage, complexity, and the possibility of substantial losses.

[R5] **SEC.** [Day Trading: Your Dollars at Risk](#). SEC investor publication emphasizing that day trading can be highly risky and expensive.

[R6] **Investor.gov.** [Types of Orders](#). Defines market, limit, and stop orders.

[R7] **Investor.gov.** [Investor Bulletin: Stop, Stop-Limit, and Trailing Stop Orders](#). Explains why stop prices are triggers, not guaranteed execution prices.

[R8] **NYSE.** [Holidays & Trading Hours](#). Official NYSE market hours, including the 9:30 a.m. to 4:00 p.m. ET core session.

[R9] **Investor.gov.** [Extended-Hours Trading: Investor Bulletin](#). Lists risks such as lower liquidity, wider spreads, and uncertain prices outside regular hours.

[R10] **CME Group.** [Position and Risk Management for Individual Traders](#). Highlights choosing the right market, contract size, and stop placement to fit account risk.